Government of India
Ministry of Micro, Small & Medium Enterprises
MSME - Development Institute, Thrissur

A Handbook for Potential MSME Entrepreneurs to Enter into the Export Market

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Chapter 1
Introduction

1.1. Importance of MSME Sector and Export Market

The role of micro, small and medium enterprises (MSMEs) in the economic and social development of the country is well established. The MSME sector is a nursery of entrepreneurship, often driven by individual creativity and innovation. As per data available, the sector accounts for 45 % of total industrial production, 48% of total exports and contributes 40% of the country's GDP. Despite a reasonable growth story and substantial share in overall exports, MSMEs are often faced with a number of challenges that restrict their entry into the foreign market.

Further, it's a known fact that Indian manufacturing is depending on supplies from other countries, especially China, which includes a wide variety of machineries, including electrical machinery, semi conductor driven machinery, etc. If we look at limited value consumer goods which is a very large extent has flooded the Indian market. To achieve self reliance, our industries should be capable to response very quickly to changing international situation.

1.2. Profile of External Trade Sector of Kerala

Cochin Port is the major port in the State. As per the Economic Review 2019 published by State Planning Board, in 2018-19, Cochin Port handled a total traffic, coastal and foreign, of 320.2 lakh MT, as compared to 291.4 lakh MT in 2017-18, registering a lower growth rate of 9.9 per cent as against 16.5 per cent in the previous year.

Total export, both coastal and foreign, through Cochin Port was aggregated to 66.5 lakh MT in 2018-19 as against 57.8 lakh MT in 2017-18. Tea, coffee, cashew kernels, seafood, coir products and spices are the major items of export through Cochin port. Total import traffic, both costal and foreign, through Cochin port rose to 253.8 lakh MT in 2018-19 as against 233.6 lakh MT in 2017-18. Fertilizers and raw materials, iron, steel and machinery and miscellaneous items including Petroleum, Oil, and Lubricants (POL) were the major items of import in 2018-19. Food grains and newsprint were not imported through Cochin Port in 2017-18.

3.3. About the Handbook

Exports create jobs and boost economic growth. They give domestic companies more experience in producing for foreign markets. Over time, companies gain a

competitive advantage in global trade. Trade also makes companies more efficient. Research shows that exporters are more productive than companies that focus on domestic trade.

Even if the MSMEs are having the potential, they never think beyond the domestic market due to lack of confidence to enter into international market. This major reason for this lack of confidence is lack of awareness about how to start export business, how to find markets and the organizations facilitating support for the exporters. This handbook is an attempt to provide basic information to the beginners in the MSME Sector who are having potential to enter into international market.

Chapter 2
How to Start Export Business

Are you considering starting your own export-import business? It is a good idea, the world is more open and trading across the countries is more liberal than ever before, import export business is booming.

2.1. Essentials of Exports

There is no question that operating an import/export business is inevitably more complicated and risky than operating business in the domestic markets. Nevertheless, experiences gained in the domestic market could help jump start an export/import operation and it can be a logical expansion of the enterprise's domestic business activities. If your company has done well in selling or buying products or services in the domestic markets, the same basic strategy can be used to successfully enter overseas markets.

Incorporating and better understanding the following four key areas will help to increase the chances for success in the export/import business.

- Export-Import is totally free with very limited restriction (96% items are free items) Export Preliminaries
- To find Buyers-Seller
- To decide Product and its Price-Quantity
- Preparation of an Export Business Plan

2.2. Step by Step Procedures to start an Export Business

Export in itself is a very wide concept and lot of preparations is required by an exporter before starting an export business. To start export business, the following steps may be followed:

i. Establishing an Organisation

To start the export business, first a sole Proprietary concern/ Partnership firm/Company has to be set up as per procedure with an attractive name and logo.

ii. Opening a Bank Account

A current account with a Bank authorized to deal in Foreign Exchange should be opened.

iii. Obtaining Permanent Account Number (PAN)

It is necessary for every exporter and importer to obtain a PAN from the Income Tax Department.

iv. Obtaining Importer-Exporter Code (IEC) Number

As per the Foreign Trade Policy, it is mandatory to obtain IEC for export/import from India. Para 2.05 of the FTP, 2015-20 lays down the procedure to be followed for obtaining an IEC, which is PAN based.

An application for IEC is filed online at www.dgft.gov.in as per ANF 2A, online payment of application fee of Rs. 500/- through net Banking or credit/debit card is made along with requisite documents as mentioned in the application form. (Link to apply

v. Registration cum membership certificate (RCMC)

For availing authorization to import/ export or any other benefit or concession under FTP 2015-20, as also to avail the services/ guidance, exporters are required to obtain RCMC granted by the concerned Export Promotion Councils/FIEO/Commodity Boards/ Authorities.

vi. Selection of product

All items are freely exportable except few items appearing in prohibited/ restricted list.

After studying the trends of export of different products from India proper selection of the product(s) to be exported may be made.

vii. Selection of Markets

An overseas market should be selected after research covering market size, competition, quality requirements, payment terms etc. Exporters can also evaluate the markets based on the export benefits available for few countries under the FTP. Export promotion agencies, Indian Missions abroad, colleagues, friends, and relatives might be helpful in gathering information.

viii. Finding Buyers

Participation in trade fairs, buyer seller meets, exhibitions, B2B portals, web browsing are an effective tool to find buyers. EPC's, Indian Missions abroad, overseas chambers of commerce can also be helpful. Creating multilingual Website with product catalogue, price, payment terms and other related information would also help.

ix. Sampling

Providing customized samples as per the demands of Foreign buyers help in getting export orders. As per FTP 2015-2020, exports of bonafide trade and technical samples of freely exportable items shall be allowed without any limit.

x. Pricing/Costing

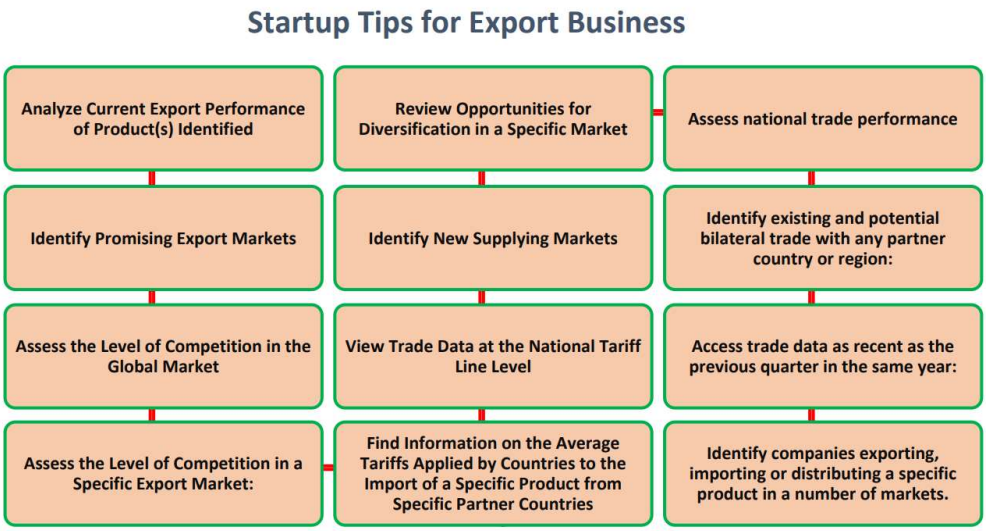
Product pricing is crucial in getting buyers' attention and promoting sales in view of international competition. The price should be worked out taking into consideration all expenses from sampling to realization of export proceeds on the basis of terms of sale i.e. Free on Board (FOB), Cost, Insurance & Freight (CIF), Cost & Freight(C&F), etc. Goal of establishing export costing should be to sell maximum quantity at competitive price with maximum profit margin. Preparing an export costing sheet for every export product is advisable.

xi. Negotiation with Buyers

After determining the buyer's interest in the product, future prospects and continuity in business, demand for giving reasonable allowance/discount in price may be considered.

xii. Covering Risks through ECGC

International trade involves payment risks due to buyer/ Country insolvency. These risks can be covered by an appropriate Policy from Export Credit Guarantee Corporation Ltd (ECGC). Where the buyer is placing order without making advance payment or opening letter of Credit, it is advisable to procure credit limit on the foreign buyer from ECGC to protect against risk of non-payment.



Chapter 3
Accessing Export Readiness

3.1. Are you ready?

An export-ready enterprise is one that has the capacity, resources and management to deliver a marketable product or service on a global scale at a competitive price. The trick is to determine whether this is true of your enterprise — and if it isn't, how to make it happen. First of all, **you have to break a myth related to export : My Enterprise is too small to be successful at exporting. To succeed in international markets, you don't have to be a big firm.**

Check the following as a starting point:

i. Expectations - Do you have:

- clear and achievable export objectives?
- a realistic idea of what exporting entails and the timelines for results?
- an openness to new ways of doing business?
- an understanding of what is required to succeed in the international marketplace?

ii. Human resource requirements - Do you have:

- the capacity to handle the extra demand associated with exporting?
- senior management committed to exporting?
- efficient ways of responding quickly to customer inquiries?
- personnel with culturally sensitive marketing skills?
- ways of dealing with language barriers?
- a local contact or “go to” person?

iii. Financial and legal resources - Can you:

- obtain enough capital or lines of credit to produce the product or service for new orders?
- find ways to reduce the financial risks of international trade?
- find people to advise you on the legal and tax implications of exporting?
- deal effectively with different monetary systems and ensure protection of your intellectual property?

iv. Competitiveness - Do you have:

- a product or service that is potentially viable in your target market?
- resources to do market research on the exportability of your product or service?
- proven market-entry methods?

3.1. Evaluating the Export Potential

Can your product or service find a worthwhile market outside India? When analyzing the export potential of your products/goods or services, you may want to account for the following considerations:

i. Customer profiles

- Who already uses your product or service?
- Is your product or service in broad, general use or limited to a particular group?
- Is your product or service popular with a certain age group?
- Are there other significant demographic patterns to its use?
- What climatic or geographic factors affect the use of your product or service?

ii. Product modifications

- Are modifications required to make your product appeal to foreign customers?
- What is the shelf life of your product? Will this be reduced by time in transit?
- Can the packaging be easily modified to satisfy the demands of foreign customers?
- Is special documentation required? For example, does your product have to meet any technical or regulatory requirements?

iii. Transportation

- How easily can your product be transported?
- Would transportation costs make competitive pricing a problem?
- How efficiently does the target market process incoming shipments?
- Are specialized containers or packaging materials required?

iv. Local representation

- Do you require a local marketer/salesperson or other local representation?
- Do products require professional assembly or other technical skills?
- Is after-sales service needed? If so, is it available locally or do you have to provide it? Do you have the resources to do this?

v. Exporting services

- If you're exporting services, what is unique or special about them?
- Are your services considered to be world-class?
- Do you need to modify your services to allow for differences in language, culture and business environment?
- How do you plan to deliver your services: in person, with a local partner or by electronic means such as the Internet?

vi. Capacity

- Will you be able to serve both your existing domestic customers and new foreign clients?
- If your domestic demand increases, will you still be able to look after your export customers and vice versa?

There are a number of websites which will help you to access the export readiness.

Chapter 4
Preparation of an Export Business Plan

A thoroughly prepared export plan will provide a better chance of doing well in target market. Bad planning (or no planning) can lead to major failure abroad and could severely damage the domestic operations as well. Financial institutions and other lending agencies will not normally provide funds to a business that lacks a well-developed export plan. An export plan is a business plan that focuses on international markets. It identifies your target market(s), export goals, necessary resources and anticipated results.

An export plan should contain the following:

1. Introduction
    - business history
    - vision and mission statements
    - purpose of the export plan
    - organizational goals and objectives
    - international market goals
    - short- and medium-term objectives for exporting
    - location and facilities
2. Organization
    - ownership
    - management
    - staffing
    - relationship between exporting and domestic operations
    - corporate experience and expertise in exporting
    - strategic alliances
3. Products and services
    - description of products and services
    - key and/or unique features that distinguish your product/services from those in the target market adaptation and redesign required for exporting
    - production of products and services
    - future products/services pipeline
    - comparative advantage in production
4. Market overview
    - political environment

- economic environment
- size of market
- key market segments
- purchasing process and buying criteria
- description of industry participants
- market share held by imports
- tariff and non-tariff barriers
- industry trends and other market factors
- market outlook

5. Market-entry strategy
    - target market(s)
    - description of key competitors
    - analysis of competitive position
    - product positioning
    - pricing strategy
    - terms of sale
    - distribution strategy
    - promotion strategy / development of sales leads
    - description of intermediaries and partners
6. Regulatory and logistical issues
    - intellectual property protection
    - other regulatory issues
    - modes of transportation and cargo insurance
    - trade documentation
    - use of trade service providers
7. Risk factors
    - market risks
    - credit and currency risks
    - political and other risks
8. Implementation plan
    - key activities
    - evaluation criteria and process

9. Financial plan
    - revenues or sources of funding
    - operating budget
    - cost of sales
    - marketing and promotion costs
    - other expenses or expenditures

The following is a sample export plan:

Introduction: Why This Company Should Export

Part I: Export Policy Commitment Statement

Part II: Situation or Background Analysis

- Product/Service for Export
- Operations
- Personnel and Export Organization
- Resources Inside the Company
- Resources Outside the Company
- Industry Structure, Competition, and Demand
- Export License (if needed)
- Export Control Compliance
- Products/Services to Be Exported
- Product Classification(s)
- Products That Qualify Under FTAs

Part III: Marketing Component

- Identifying, Evaluating, and Selecting Markets
- Product Selection and Pricing
- Distribution Methods
- Terms and Conditions
- Internal Organization and Procedures
- Sales Goals (Profit and Loss Forecasts)
- Pricing Including Consideration of Duties, Taxes, Freight Costs, and Logistics

Part IV: Tactics—Action Steps

- Primary Target Countries
- Secondary Target Countries
- Indirect Marketing Efforts
- Quarterly Accomplishments

Part V: Export Budget

- Pro-forma Financial Statements
- Website Enhancements
- Trade Show Visits
- Marketing Materials
- Travel
- Other Costs

Part VI: Implementation Schedule

- Follow-up
- Periodic Operational and Management Review (Measuring Results against the Plan)

Addenda: Background Data on Target

- Basic Market Statistics (Historical and Projected)
- Background Facts
- Competitive Environment

Export myth: Exporting is too complicated for my enterprise to undertake

Remember, you don't have to do everything yourself. Outside experts can represent you, find overseas customers, manage sales orders, handle paperwork and deliver the goods.

Chapter 5
Identification of Markets and Buyers

After the export plan, market research can be the most important contributor to your international success. There are more than 190 countries in the world and you want to target the right one(s) for your product or service. To do this, you need information that will provide a clear picture of the political, economic and cultural factors affecting your operations in a given market. Market research is the key to understanding your opportunities. It can confirm that an opportunity actually exists, provide you with insight into how a new market can be developed, or help you discover what's important to your potential customers.

5.1. The three basic stages of international market research

Stage 1. Screen potential markets

Collect statistics that show your sector's product or service exports to various countries. Identify five to 10 large and fast-growing markets for your product or service. Look at their performance over the past three to five years. Has market growth been consistent year over year? Did import growth occur even during periods of economic slowdown? If not, did growth resume with economic recovery? Apply the same research questions to select smaller emerging markets that may not have as many competitors as an established market. Target three to five of the most promising markets for further study.

Stage 2. Assess target markets

Examine trends that could influence demand for your product or service. Calculate the overall consumption of products or services like yours and identify the amount imported. Study the competition, both domestic and international. Look at each competitor. For marketing purposes, become familiar with channels of distribution, cultural differences and business practices. Identify any foreign barriers (tariff or non-tariff) for the product or service being imported into the country, as well as any domestic barriers (such as export controls) affecting exports.

Stage 3. Draw conclusions

After analyzing the data, you may decide that you should restrict your marketing efforts to a few countries. In general, one or two countries are usually enough to start with.

5.2. Types of market research

There are many ways to study a market, but the more detailed and objective your research, the better.

There are two main types of market research: secondary and primary.

i. Secondary research

Secondary research can be done in India, using data sources including periodicals, studies, market reports, books, surveys and statistical analyses. Many of these are available online, as well as from chambers of commerce, economic development organizations, industry and trade associations, and Indian companies that are already doing business in your target market.

ii. Primary research

After completing your secondary research, collect market information through direct contact with potential customers or other sources. Primary research almost always demands direct, personal involvement through on-site interviews and consultations. State your company's objectives at the outset and present your questions clearly. For example:

- **Company description:** give a brief description of your company, its history, industries and markets served, professional affiliations (if any) and your product or service.
- **Objectives:** briefly list or describe one or more objectives for your planned export product or service, based on your secondary market research.
- **Product or service:** clearly describe the product or service you want to export.
- **Questions:** base your questions on your secondary research and be as specific as possible. You'll get a better response if it's clear that you've carefully researched your subject.

iii. Online resources

There are online resources which provide access to hundreds of market reports, export publications and guides as well as upcoming trade events, webinars, podcasts and videos. Create a profile and opt-in to receive email notifications of new opportunities to expand your business through exporting. Followings are a few:

B2B Websites/Portals

- www.alibaba.com
- www.tradeindia.com

- www.indiamart.com
- www.fibre2fashion.com
- www.exportersindia.com

Global B2B Websites

- https://www.thomasnet.com/ for USA & Europe
- http://www.arabo.com/home.html for ME
- http://www.dragon-guide.net/index5.htm for World
- For Canadian Buyers : https://www.ic.gc.ca/eic/site/cid-dic.nsf/eng/home
    - Exhibition/Trade Fairs Exhibitors Directory : https://10times.com/

Chapter 6
Organisations to Support Exporters

In India there are a number of organisation and agencies that provides various types of support to the exporters from time to time. These export organisations provides market research in the area of foreign trade, dissemination of information arising from its activities relating to research and market studies. So, exporter should contact them for the necessary assistance.

6.1. Directorate General of Foreign Trade (DGFT)

Directorate General of Foreign Trade (DGFT) organisation is an attached office of the Ministry of Commerce and Industry and is headed by Director General of Foreign Trade. Right from its inception till 1991, when liberalization in the economic policies of the Government took place, this organization has been essentially involved in the regulation and promotion of foreign trade through regulation. Keeping in line with liberalization and globalization and the overall objective of increasing of exports, DGFT has since been assigned the role of "facilitator". The shift was from prohibition and control of imports/exports to promotion and facilitation of exports/imports, keeping in view the interests of the country. DGFT HQ Address: Directorate General of Foreign Trade (DGFT) Udyog Bhawan, H-wing, Gate No-02, Maulana Azad Road, New Delhi -110011

DGFT EDI Helpdesk No. Toll Free No: 1800-111-550 OR Dial 011-23061562

Email: dgftedi@nic.in

6.2. Export Promotion Councils (EPC)

Export Promotion Councils are registered as non -profit organisations under the Indian Companies Act. The Export Promotion Councils perform both advisory and executive functions. These Councils are also the registering authorities under the Export Import Policy. Federation of Indian Export Organizations (FIEO) - Apex body of all Export Promotion Councils/Commodity Boards/Export Development Authorities (Export Promotion Councils) in India. Following are the major EPCs

- Project Exports Promotion Council of India
- Export Promotion Council for EOUS and SEZ Units
- Basic Chemicals Pharmaceuticals & Cosmetic Export Promotion
- Carpet Export Promotion Council
- Cashew Export Promotion Council of India
- Electronics & Computer Software Export Promotion Council

- The Plastics Export Promotion Council
- Power-loom Dev. and Export Promotion
- Pharmaceutical Export Promotion Council
- Export Promotion Council for Handicrafts
- Shellac & Forest Products Export Promotion Council (SHEFEXIL)
- Gem & Jewellery Export Promotion Council (GJEPC)
- Services Export Promotion Council (SEPC)
- CAPEXIL
- Sports Goods Export Promotion Council
- Handloom Export Promotion Council
- Indian Oilseeds & Produce Exporters Association EPC (IOPEA)
- Synthetic & Rayon Textiles Export Promotion Council
- Cotton Textiles Export Promotion Council
- Indian Silk Export Promotion Council
- Telecom Equipment and Services Export Promotion Council
- Council for Leather Exports
- Jute Products Development and Export Promotion Council - (JPDEPC)

6.3. Commodity Boards

Commodity Board is registered agency designated by the Ministry of Commerce, Government of India for purposes of export-promotion and has offices in India and abroad. There are five statutory Commodity Boards, which are responsible for production, development and export of tea, coffee, rubber, spices and tobacco.

6.4. Federation of Indian Export Organisations (FIEO)

FIEO was set up jointly by the Ministry of Commerce, Government of India and private trade and industry in the year 1965. FIEO is thus a partner of the Government of India in promoting India's exports.

Address: Niryaat Bhawan, Rao Tula Ram Marg, Opp. Army Hospital. Research & Referral, New Delhi 110057

6.5. Indian Institute of Foreign Trade (IIFT)

The Indian Institute of Foreign Trade (IIFT) was set up in 1963 by the Government of India as an autonomous organisation to help Indian exporters in foreign trade management and increase exports by developing human resources, generating, analysing and disseminating

data and conducting research.

Address: B-21 Kutub Institutional Area, Mehrauli Road, New Delhi-110016

6.6. Indian Institution of Packaging (IIP)

The Indian Institute of Packaging or IIP in short was established in 1966 under the Societies Registration Act (1860). Headquartered in Mumbai, IIP also has testing and development laboratories at Calcutta, New Delhi and Chennai. The Institute is closely linked with international organisations and is recognized by the UNIDO (United Nations Industrial Development Organisation) and the ITC (International Trading Centre) for consultancy and training. The IIP is a member of the Asian Packaging Federation (APF), the Institute of Packaging Professionals (IOPP) USA, the Institute of Packaging (IOP) UK, Technical Association of PULP AND Paper Industry (TAPPI), USA and the World Packaging Organisation(WPO).
Address: B-2, MIDC Area, P.B. 9432, Andheri (E), Mumbai 400096.

6.7. Export Inspection Council (EIC)

The Export Inspection Council or EIC in short, was set up by the Government of India under Section 3 of the Export (Quality Control and Inspection) Act, 1963 in order to ensure sound development of export trade of India through Quality Control and Inspection. **Address:** 3rd Floor, ND YMCA, Cultural Centre Bldg., 1, Jai Singh Road, New Delhi-110001.

6.8. Indian Council of Arbitration (ICA)

The Indian Council for Arbitration (ICA) was established on April 15, 1965. ICA provides arbitration facilities for all types of Indian and international commercial disputes through its international panel of arbitrators with eminent and experienced persons from different lines of trade and professions.
Address: Federation House, Tansen Marg, New Delhi-110001

6.9. India Trade Promotion Organisation (ITPO)

ITPO is a government organisation for promoting the country's external trade. Its promotional tools include organizing of fairs and exhibitions in India and abroad, Buyer-Seller Meets, Contact Promotion Programmes, Product Promotion Programmes, Promotion through Overseas Department Stores, Market Surveys and Information Dissemination. **Address:** Pragati Bhawan Pragati Maidan, New Delhi-10001

6.10. Bureau of Indian Standards (BIS)

The Bureau of Indian Standards (BIS), the National Standards Body of India, is a statutory body set up under the Bureau of Indian Standards Act, 1986. BIS is engaged in standard formulation, certification marking and laboratory testing.

Address: 9, Manak Bhavan, Bahadur Shah Zafar Marg, New Delhi-110002

6.11. Marine Products Export Development Authority (MPEDA)

The Marine Products Export Development Authority (MPEDA) was constituted in 1972 under the Marine Products Export Development Authority Act 1972 and plays an active role in the development of marine products meant for export with special reference to processing, packaging, storage and marketing etc.
Address: P.B No.4272 MPEDA House, pannampilly Avenue, Parampily Nagar, Cochin-682036

6.12. The Agricultural and Processed Food Products Export Development Authority (APEDA)

APEDA was established by the Government of India under the Agricultural and Processed Food Products Export Development Authority Act passed by the Parliament in December, 1985. APEDA also functions as the Secretariat to the National Accreditation Board (NAB) for implementation of accreditation of the Certification Bodies under National Programme for Organic Production (NPOP) for organic exports. “Organic Products” for export are to be certified only if Produced, Processed and Packed as per the standards laid down in the document – "National Programme for Organic Production (NPOP)."

Address: 3rd Floor, NCUI Building 3, Siri Institutional Area, August Kranti Marg, (Opp. Asiad Village), New Delhi - 110 016, India

Phone: 91-11-41486013, 20863919, 26513219, 26514572, 20867008, 20867007, 26534870, 26850301

E-mail: headq@apeda.gov.in

6.12. Director General of Commercial Intelligence Statistics (DGCIS)

DGCIS is the Primary agency for the collection, compilation and the publication of the foreign inland and ancillary trade statistics and dissemination of various types of commercial information.
Address: I, Council House Street Calcutta-700001

Chapter 7
Export Finance - Bank Schemes

Export is a long period involved transaction with very high risk sale transaction to the foreign buyers. Selling overseas requires, different marketing and financial strategies as compared, to domestic business. Delivery of goods takes longer periods with complex payment terms and complicated sale realization settlement procedures. Presently, foreign buyers are demanding longer credit periods, best quality at world class prices with strict delivery schedules. To meet these challenges the exporter needs higher finance assistance for long periods. Cheap and adequate financial helps are essential inputs to achieve success in export business. Exporter needs finance either to manufacture or to procure the goods from other manufacturers as per, the specific requirements of the foreign buyers.

First and easy source of export finance is form the bank. Exporter should open a current account under know your customer guidelines with a branch of the bank, which has been authorized to deal in foreign exchange business.

7.1. Basics Nature of Bank Financing Scheme

Bank will provide finance to meet expenses, required to acquire raw material and manufacturing expenses or in case of trader exporter provide financial assistances, to procure goods from local manufacturers, so to, complete the export order. After shipment, bank will preferably adjust this pre shipment loan by purchasing or discounting of the relative export documents. Finally, export finance outstanding of bank loan will be adjusted from the realization of the relative export payments from the foreign buyer by the bank. Bank structures the transaction, in such manners that payment from the foreign buyer is always collected by the exporter bank.

7.1.1. Preshipment Finance Bank Scheme

Pre-shipment Finance is given by Banks to Exporter, to meet their working capital requirements relating to export activities. This working capital finance is provided to exporters, in Rupees as well in Foreign Currencies as per their choice. Bank provides pre shipment finance under following schemes:

- Packing Credit Advance or Shipping Loan in Indian Rupee
- Packing Credit Advance in Foreign Currencies (PCFC) i.e US Dollar, Euro, Pound Sterling, Yen and any other convertible currency available with the bank
- Advances against Export Incentives

- Opening of letter of Credit and Import Finance required for imported items to be used in the manufacture of goods for exports. Clear understanding of these schemes will help the exporter, to select the most appropriate finance scheme from the Bank.

7.1.2. Post Shipment Finance Scheme of Banks

Exporter needs financial assistance at post shipment stage which starts after the date of shipment of the goods. We have Pre shipment finance enables the exporter to arrange the goods and ship them. After shipment exporter has to wait for the receipt of export payment. Duration of this waiting period depends upon the credit period given to the foreign buyer. To meet shortage of cash during this waiting period, bank provides post shipment finance. It is an extension of already existing pre shipment finance. Thus, Exporter will avail export finance in steps, first as pre shipment and then finally as post shipment finance.

Banks have classified post shipment finance facilities as follows:

- Negotiation of export bills under Letter of Credit - FOBL/C (foreign outward bills under letter of credit)
- Purchase/Discount of export bills under confirmed order - FOBP (foreign outward bills purchased)
- Advance against export bills sent on collection basis but subsequently, advance is granted to exporter - FABC (advance against foreign bill sent on collection)
- Advance against bills sent on consignment basis
- Advance against Export Incentives
- Advance against retention money by foreign buyer for verifying quality and quantity etc
- Advance against approved deemed export

Bank provides this finance automatically to exporters, who are availing preshipment advance from them. But exporter not availing pre-shipment advance may avail post-shipment advance from the bank. Post-shipment advance is always extended against evidence of shipment of goods. Complete set of documents required by the bank, must be submitted within 21 days from the date of shipment.

Chapter 8
Risk Management in Exports – Role of ECGC

In recent years, exports have become very complex and highly risky. Insolvency rate is on the increase and balance of payment difficulties have severely affected the capacity of many countries to pay the import price. In such a high risk situation, the need for export credit insurance rise. Export credit insurance is extremely helpful for exporters as well as banks which aid in financing of export transactions. It is also important to understand various types of covers issued by ECGC and basic principles of its operation. In order to benefit from these covers, one must be well acquainted with the procedure for making a claim and financial guarantees provided to banks.

To compete with exporters in the foreign markets over and above the domestic markets, Indian exporters have to take into consideration various parameters like quality, price, delivery schedules, and also payment terms. Success of exporters depends mainly on their ability to offer competitive terms of credit to the foreign buyers as par with other countries. Credit risk is inherent in all transactions but more in case of export transactions. Insolvency of the buyer or any other reason of nonrealization of import payment may expose the exporter to credit risk despite having checked the credit worthiness of the buyer. Credit risk is greater in export transactions because reliable information about foreign buyers is difficult to obtain and hence, it is difficult to evaluate their credit worthiness. Balance of Payment difficulties may lead to transfer delays despite the ability of the buyer to pay. Over and above this, a buyer may not pay due to the possibilities of the insolvency or protected default of the buyers. In recent years, there has been a significant increase in insolvencies and business failures even in many developed countries. In such a risk situation export credit insurance can be of immense help to exporters and the banks who provide finance for the export transactions.

8.1. Organisation Covering Credit Risk

There are around 40 organisations which provide cover against credit risk over the world. These organisations are members of the International Union of Credit & Investment Insurers also known as the Berne Union. In most of the countries these organisations are governed by various departments of the government. In India, under the Ministry of Commerce and Industry, Export Credit Guarantee Corporation of India Limited has been established to cover export redit risks. Soon after independence, government of India in order to boost exports, in 1957 set up Export Risk Insurance Corporation of India (ERIC) with its head office in Mumbai. This organisation had to provide various guarantees to bankers providing export finance. In 1964 this organisation was renamed as the Export Credit and Guarantee Corporation Limited. To bring the Indian identity into sharper focus,

the Corporation's name was once again changed in 1983 to Export Credit Guarantee Corporation of India (ECGC). The ECGC is a company wholly owned by the Government of India. It functions under the administrative control of the Ministry of Commerce and is managed by the Board of Directors representing Government, Banking, Insurance, Trade and Industry, etc.

8.2. Risk Covered by ECGC

It is also important to enumerate the risks covered under Standard Policies. These risks are broadly divided into two categories i.e. Commercial and Political.

Commercial Risks include:

i. The insolvency of the buyer
ii. The buyer's protracted default to pay (within 4 months of due date) for goods accepted by him; and
iii. In some special circumstances specified in the policy, buyer's failure to accept the goods, when such non-acceptance is not due to exporter's action.

Political Risks includes:

i. Imposition of restrictions on remittances by the Government in the buyer's country or any government action which may block or delay payment to the exporter
ii. War, revolution or civil disturbances in the buyer's country
iii. New import licensing restrictions or cancellation of a valid import license in the buyer's country, after the date of shipment or contract as applicable
iv. Cancellation of export license or imposition of new export licensing restrictions in India after effective date of contract (under contracts policy)
v. Payment of additional handling, transport or insurance charges occasioned by interruption or diversion of voyage which cannot be recovered from the buyer; and
vi. Any other cause of loss occurring outside India, not normally insured by general insurers, and beyond the control of the exporter and or the buyer.

The risks which are not covered under the standard policies do not cover losses due to the following risks:

i. Commercial disputes including quality disputes raised by the buyer, unless the exporter obtains a decree from a competent court of law in the buyer's country in his favour
ii. causes inherent in the nature of the goods
iii. buyer's failure to obtain necessary import or exchange authorization from authorities in his country
iv. Insolvency or default of any agent of the exporter or of the collecting bank

v. Loss or damage to goods which can be covered by general insurers
vi. Failure of the exporter to fulfill the terms of the export contract or negligence on his part

Exchange rate fluctuation ECGC also does not cover risks which can normally be insured with commercial insurers. An exporter may either take a comprehensive risks policy covering both political and commercial risks or secure himself against political risks only, depending upon his requirements. It must, however, be noted that ECGC does not issue policies to cover commercial risks only.

Annexure

Relevant Websites for Potential Exporters from MSME Sector

Sl No	Organization/Address	Website
1	Directorate General of Foreign Trade (DGFT)	https://www.dgft.gov.in/CP/
2	Joint Director General of Foreign Trade, Cochin, Kerala (The Joint Director General of Foreign Trade, 5th Floor, A - Block, Kendriya Bhavan, Kakkanad P.B.No.1129 Ernakulam, Cochin 682 037 Tel: 0484- 2427397 / 2426378 Fax: 2427069 E-Mail: cochin-dgft@nic.in)	http://jdgftcochin.gov.in/
3	Federation of Indian Export Organisations (Kerala Chapter Marine Building, First Floor, Malabar Road, North End, Willingdon Island, Kochi - 682009 Telefax : +91-484-2666116 Email : kerala@fieo.org)	https://www.fieo.org/
4	ECGC Ltd. (Kochi Branch, HDFC House, 2nd Floor, Ravi Puram Junction, M. G. Road. Ernakulam, Kochi – 682 015 Tel: (0484) 2359437/ 57 Email: kochi@ecgc.in)	https://main.ecgc.in/english/
5	Indian Institute of Foreign Trade	https://www.iift.ac.in/iift/index.php
6	Marine Products Export Development Authority (MPEDA)	https://mpeda.gov.in/
7	Agricultural and Processed Food Products Export Development Authority (APEDA)	https://apeda.gov.in/apedawebsite/
8	Spices Board India	http://www.indianspices.com/
9	Rubber Board	http://rubberboard.org.in/public
10	Coir Board	http://coirboard.gov.in/
11	India Exim Bank	https://www.eximbankindia.in/organisation
12	Export Inspection Council (Export Inspection Agency, Kochi, Shipyard Quarters Road, Panampilly Nagar (South), Kochi, Kerala 682036, Tel: 0484 231 6945)	https://commerce.gov.in/about-us/autonomous-bodies/export-inspection-council-of-india-eic/#
13	Indian Institute of Packaging	https://www.iip-in.com/
14	Bureau of Indian Standards	https://www.bis.gov.in/
15	Cashew Export Promotion Council of India	http://www.cashewindia.org/
16	Cochin Special Economic Zone	https://csez.com/